

How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders



Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to

come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

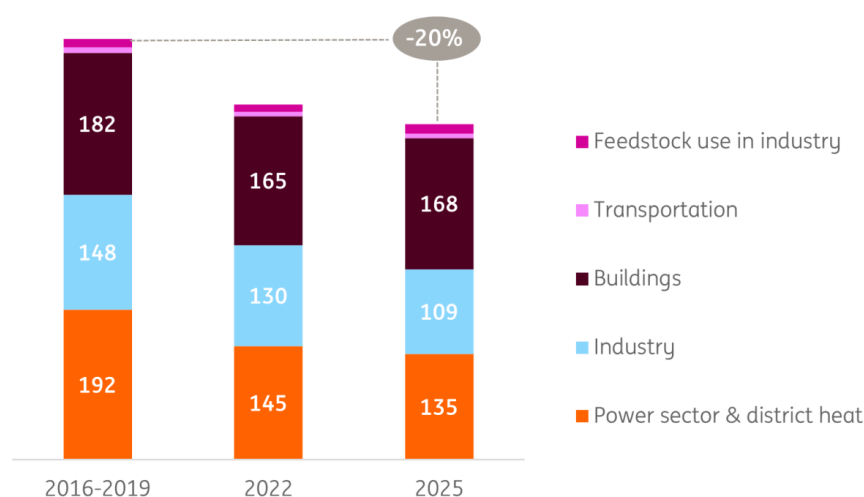
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of “greening” buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector **lost** 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, “greener” capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

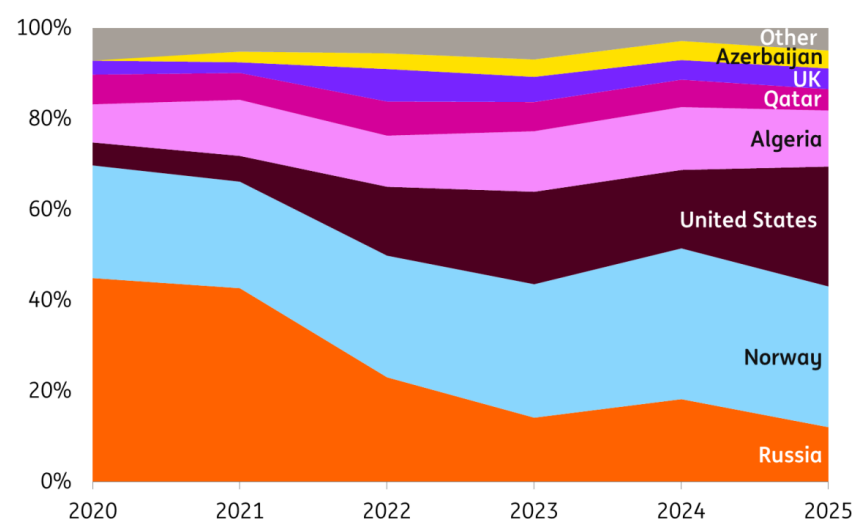
Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US

liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal's share in Europe's power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

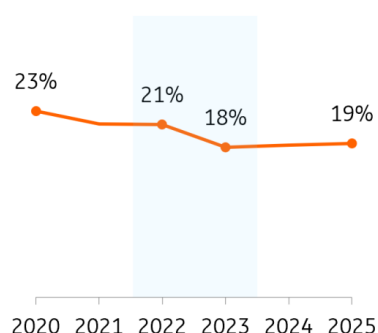
Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

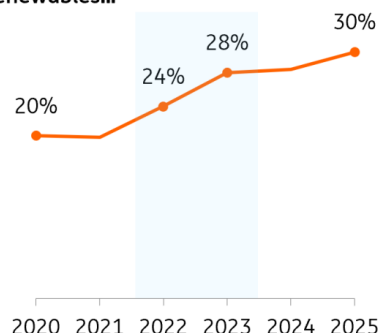
Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)

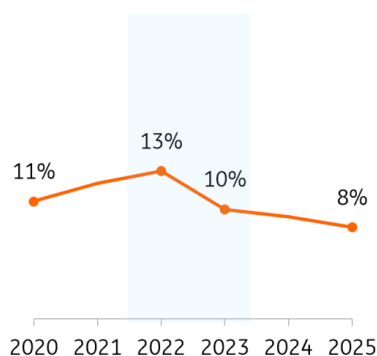
Reduction in gas dependence...



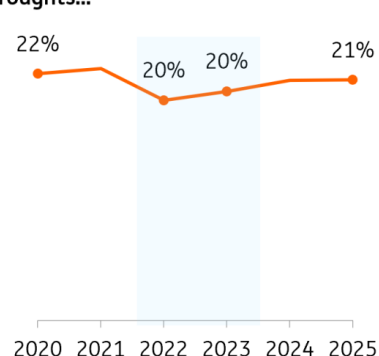
...was followed by a sharp increase in renewables...



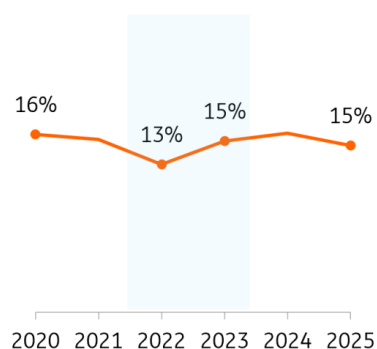
...and a short lived increase in coal...



...while hydropower was lower due to droughts...



...and nuclear power due to outages.



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are

queued for grid access.

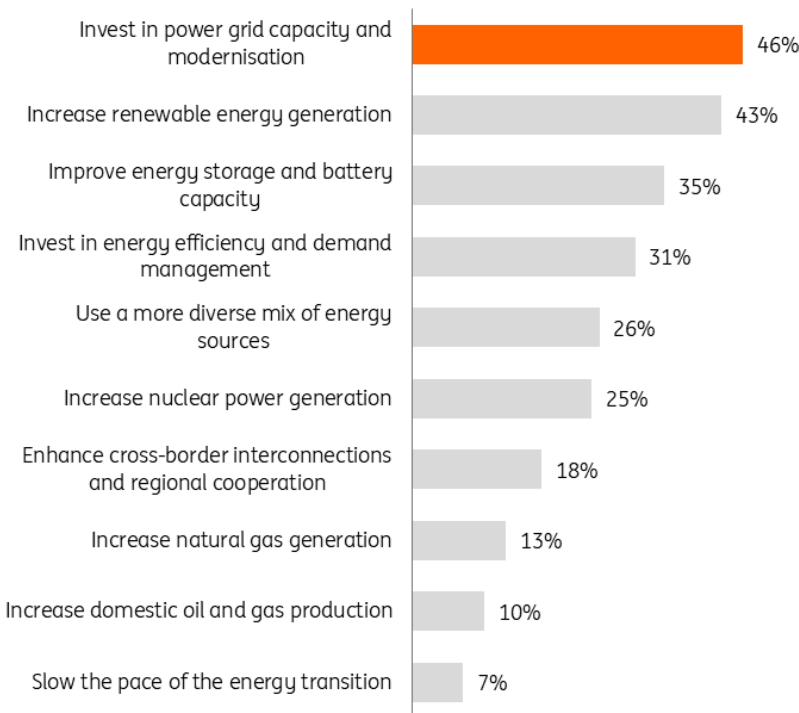
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for

business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

In Denmark, biogas now supplies 40% of the country's gas demand

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO₂ than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe's ambitious long-term strategy

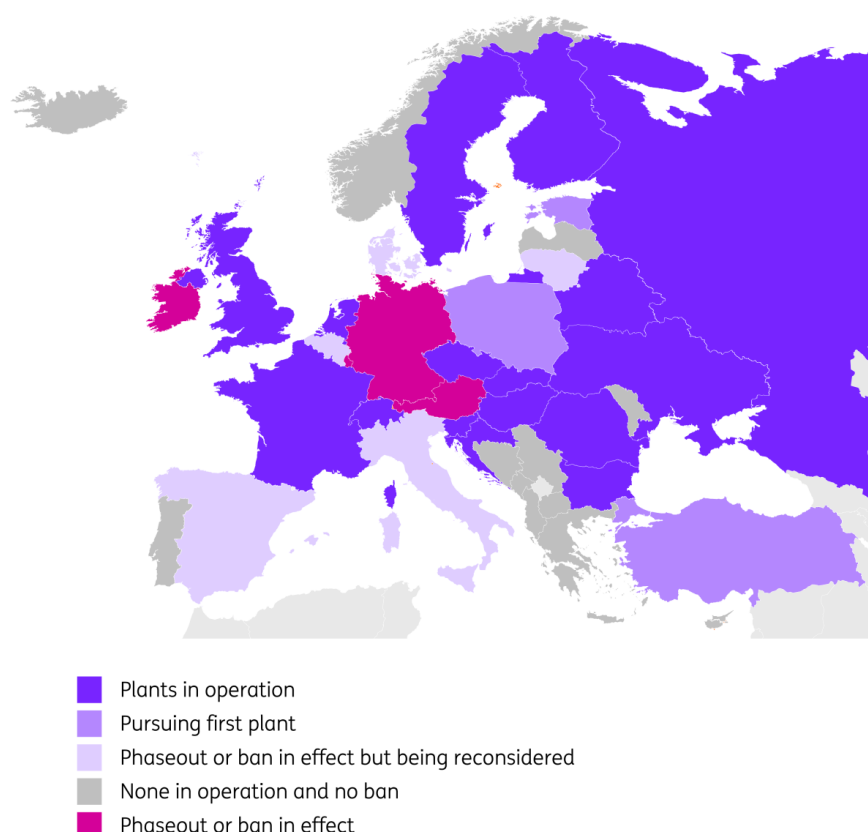
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today's crisis. Just like the 1973–74 oil crisis spurred France's large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe's shift away from nuclear energy following the Fukushima disaster – most notably Germany's abrupt phase-out – was “a strategic mistake.”

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe's future energy landscape.

Europe's evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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EUR Money Markets: Stirred, not shaken

The Iran conflict and energy price surge have shaken ECB rate expectations, causing market uncertainty and shifts to safer assets. Money and funding markets show limited stress, but as overall activity focuses more on very short dates, longer Euribor spreads, in particular, have seen higher volatility



Euro rates have shown resilience in the face of the Middle East conflict and higher inflation

Oil price spike pushes ECB out of its 'good place'

The short ends of the interest rate curves have been the most impacted by the Iran conflict and the energy price spike, as fears of a 2022 repeat swept through the market. A rate-cutting bias has morphed into expectations of as many as three European Central Bank (ECB) rate hikes by the end of the year. While a ceasefire has calmed the situation, the ECB signalling a readiness to act on any signs of second-round effects taking hold, keeps the possibility of a first rate hike as early as April still in play.

We think that the additional information that the ECB will have at that point will be rather limited, arguing for a wait at least until June. If we follow our base case scenario, we think the ECB will continue to signal vigilance, but will eventually manage to keep rates steady. But we also have to acknowledge that at this stage, ECB policymaking is more about managing expectations. For now, the picture presented by longer-term inflation swaps remains relatively benign. But this can still change as the crisis evolves.

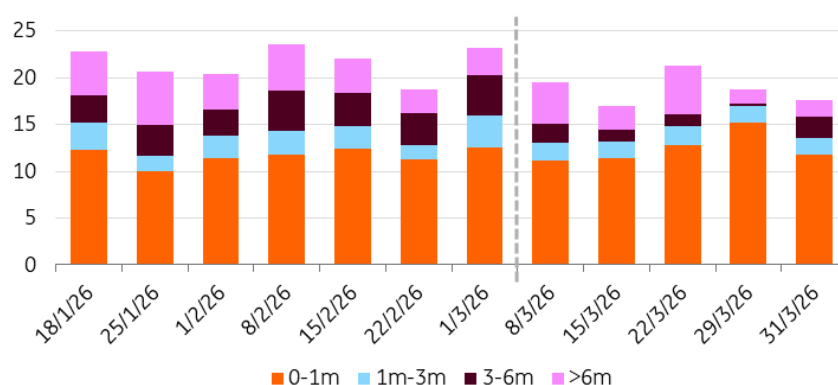
Uncertainty leaves its marks in money markets, but no signs of stress

The overall uncertainty and risk aversion in the market have also left their mark on money markets. We have seen the 2y German Schatz start to outperform more noticeably versus swaps as the conflict escalated further. That is a classic sign of flight-to-quality, although there was also a directional component to it over the past month.

There has been a shift to shorter maturities amid the uncertainty around the crisis and the ECB's policy response. Signs of actual strains in money markets and the functioning of funding markets, however, remain limited.

In repo markets, the overnight GC pooling rates had dipped back to the ECB deposit facility rate for the latter part of March, having previously sat around 1-2bp above. The quarter-end itself, however, appeared more driven by liquidity demand this time around, as the rate did not show the usual spike lower that we had observed around previous month and quarter-ends. German government GC is now back to basically flat with the depo rate again after quarter-end, after having dipped to slightly below before. Italian GC briefly widened towards 5bp above the depo rate at the beginning of March and again at the start of April, but for the most part it sat around 2bp, which is even at the low end of the range just prior to the conflict.

European banks' weekly CP/CD issuance volumes shifted to shorter tenors



Source: CMD, ING

In unsecured markets, we have also observed that for commercial paper, volumes from banks shifted to predominantly tenors of 1m and shorter, reflecting the change in investor appetite.

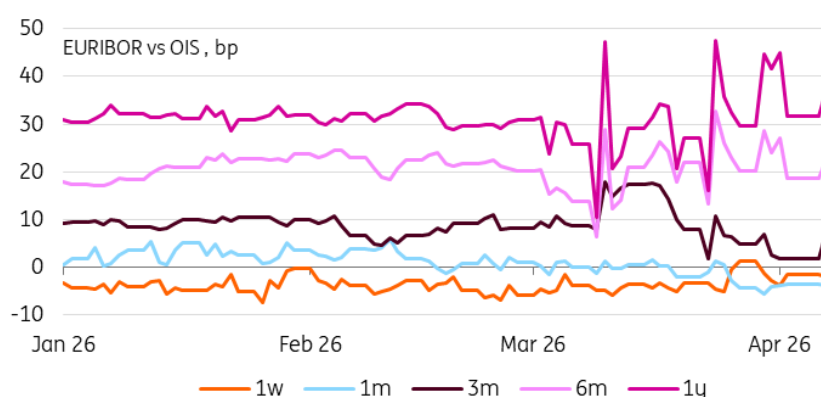
Ahead of quarter-end, the 1m Euribor fixing dropped even more noticeably below ESTR OIS, reflecting low desire to take on funding that does not add to fulfilling regulatory ratios but only expands the balance sheet.

There was a brief widening of the 3m Euribor OIS spot spread, but this was more related to the technicalities of the fixing and its fallback calculations rather than a change in credit perceptions. The spike reversed quickly, and the spot spread even reached its lowest print since the end of 2024.

However, the volatility in the spread over OIS is most striking in the longer tenors, where the 12m Euribor OIS spread has been anywhere from 10bp to 45bp since the onset of the conflict. Prior, the spread had been hovering in a range of 30bp to 35bp since last September.

Away from the spot fixings, FRA/OIS spreads briefly widened as an impact reaction, but also pared a good part of that widening. They do remain a tad wider by about a basis point, but one has to keep in mind that the FRA/OIS strip previously had shown a very gradual widening trend. This reflects the underlying ECB run-down of its balance sheet and the resulting decline in excess reserves in the banking system.

EURIBOR spread volatility in longer tenors



Source: Refinitiv, ING

To recap, Euribor fixings represent the rate at which banks can borrow in the unsecured money market. To ensure 'robustness' and 'representativeness', the calculation of the fixing is grounded to the extent possible in actual transaction data.

For that purpose, a hybrid methodology using a waterfall structure has been developed. At the first level, actual transactions are used to calculate the fixing. If a contributing bank does not have enough transactions to support this Level 1 calculation, it can resort to a Level 2 calculation that progressively employs anything from interpolation from adjacent tenors to using prior-day contributions alongside market adjustment factors.

The drawbacks, especially in more volatile times, become clear when looking at the transparent data that the benchmark administrator supplies with some lag. In February, for instance, a transaction volume of over €130bn underpinned the 1-week fixing. But in the tenors of 1m to 12m, volumes amounted to only €5bn to €10bn that month. This meant that for the 1-week, Level 1 calculations were used 65% of the time, while the 3m fixing saw Level type calculation using prior dates being employed in 70% of cases.

ECB liquidity recourse see no fundamental change amid geopolitical turmoil

Banks' actual recourse to the ECB liquidity operations has briefly spiked to a still modest €17bn, but

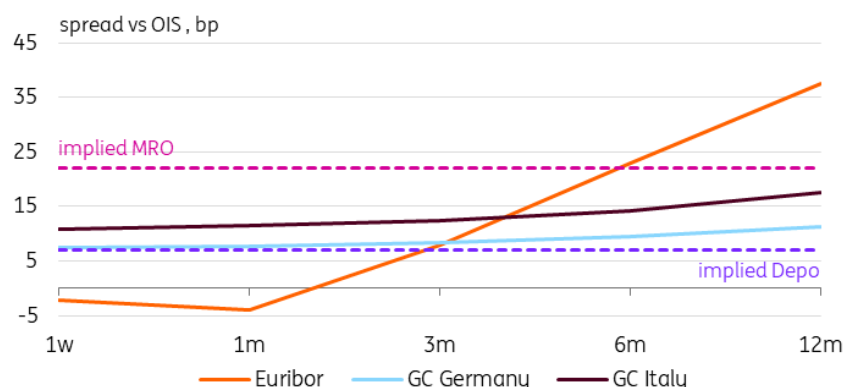
even this was more related to the quarter-end than anything else, and volumes subsequently returned to the €11bn area we have become accustomed to.

If the fallout from the war in the Middle East were to become more severe, there is also a scenario where the ECB might have to rethink its current balance sheet reduction on autopilot. For instance, a more forceful policy response in key rates could adversely impact European government bond spreads. In light of an uneven transmission of monetary policy, it could then be an option to at least pause the process of quantitative tightening.

For now, bond spreads have been relatively well-behaved. And while we have seen some widening on the back of spiking volatility, the overall levels remain not too far off from where last year ended. The hardest hit so far has been Italy, but even the 10y BTP spread over Bunds is currently only a bit more than 10bp above levels from last December following the more optimistic news out of the Mid East.

In a recent blog post looking at how banks have adjusted to the gradual decline of excess reserves, the ECB concluded that money markets were functioning smoothly and liquidity was redistributed efficiently even as a greater share of banks were operating closer to desired reserve levels. As that share is set to increase further, there will also be more upward pressure on funding rates. Eventually, this will also lead to a structural increase in the recourse to ECB liquidity operations, but for now, market funding remains mostly cheaper than going to the central bank.

Market funding still cheaper than the ECB



Source: Refinitiv, ING

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US Money Markets: Slow calm to steady state

With the Fed buying bills and bank reserves steady-to-rising, repo circumstances have slowly tamed. The effective funds rate remains elevated, though, and the war had pushed a small basis premium into the US dollar. Flows into money market funds remain, and bank deposit inflows have been strong. The prognosis is still for lower rates



Inflation expectations are keeping rates elevated, but longer term we do see rates coming down

Money markets and the Iran war – rates ultimately end up lower

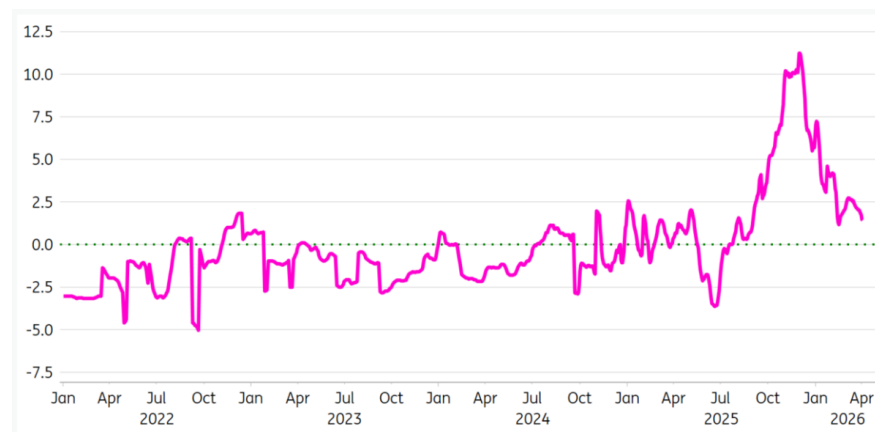
The Iran war manifested in a material elevation in short-term inflation expectations. The US 2y break-even (market inflation) rate is around 3.1%, and to hit that break-even average, there is the threat that actual inflation heads for 4%. Given that, the Federal Reserve is unlikely to cut rates. And the Fed could even come under pressure to hike rates to help face down rising inflation expectations.

On the assumption that the war winds down in the next couple of weeks, and the flow of vessels through the Strait of Hormuz shows a material pickup, our central view is that the Fed does not hike, and instead eventually cuts in the coming quarters. Taking all into consideration, our thinking

sees the funds rate unchanged for the immediate few months, with the next big moves still more liable to be lower.

Fed funds rates versus the SOFR rate

SOFR *minus* effective Fed funds rate)



Source: Macrobond, ING estimates

SOFR has become less tight, but the effective funds rate is still refusing to edge back down

The effective funds rate used to trade just 8bp above the funds rate floor. The ratchet higher to 14bp through September/October 2025 prompted the policy of renewed T-bills buying. The backstory saw bank reserves dip below US\$3tr, and repo had shown a marked tendency to tighten, with bank reserves at sub-US\$3tr. That repo tightness, in a relative value sense, was the genesis of the rise in the effective funds rate. Rate cuts have dominated, of course, but the issue is the rise in the effective funds rate within the (25bp) funds rate range.

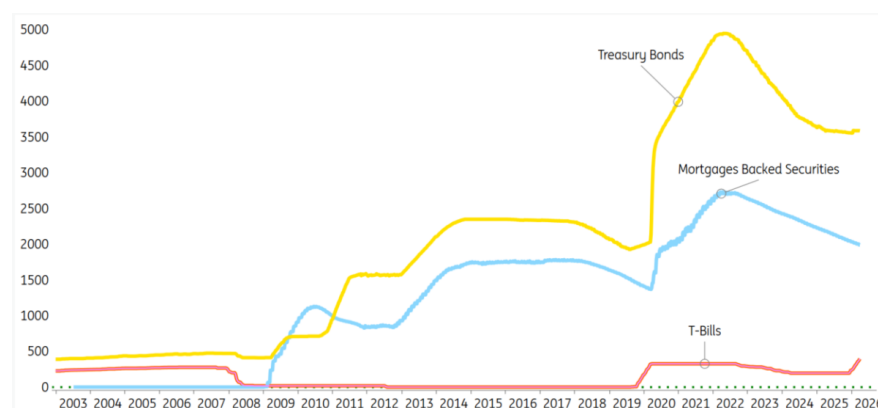
The effective funds rate has refused to budge from the 3.64% level. And by the way, that's just 1bp below the rate paid on reserves (3.65%). It's actually tough to get to 3.65%, as then eligible counterparties have a choice between two windows (reserves vs funds rate). It should not go above, though.

The other competition for avenues for market liquidity is repo, as encapsulated by the SOFR rate (basically an amalgamation of repo rates). Different players in the market with varying rights in the reserves bucket or the reverse repo bucket will see SOFR as an alternative rate that gets deployed from a relative value perspective. This is important for framing where the effective funds rate actually sits. SOFR should, in theory, trade below the effective funds rate, as it is a collateralised rate. So there is a whole relative value trade going on in this space.

And in the funds market, we also need to account for the Federal Home Loan Banks. They provide funds to typically smaller banks. The Federal Home Loan Banks cannot post in the Fed's reserves bucket, but they can post at the Fed funds rate. In fact, they tend to be dominant players in the current funds rate market, especially as the commercial banks will prefer to post at the higher excess reserves rate. Bottom line, they are effective funds rate influencers.

The Fed's bond and bills holdings

USD, billions

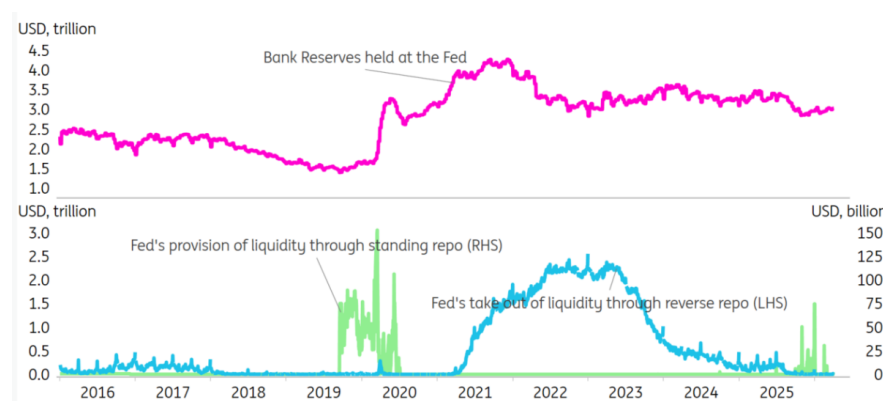


Source: Macrobond, ING estimates

Since the Fed re-commenced T-bill buying in mid-December 2025, it has bought a cumulative US\$200bn. Overall, the Fed's holdings of all securities (including bills) are up US\$155bn, to US\$6.3tr. That has coincided with a rise in bank reserves by US\$180bn, to just over US\$3tr (helped by a moderate spend down in the Treasury cash balance). Given the net balance sheet expansion, the Fed should be disappointed that the effective funds rate has not eased lower, even if only by a few basis points.

Bank reserves at the Federal Reserve

Alongside the Fed's repo (adding liquidity) and reverse repo facilities (taking out liquidity)



Source: Macrobond, ING estimates

Bank reserves are steady now that the Fed is back in the business of buying bills

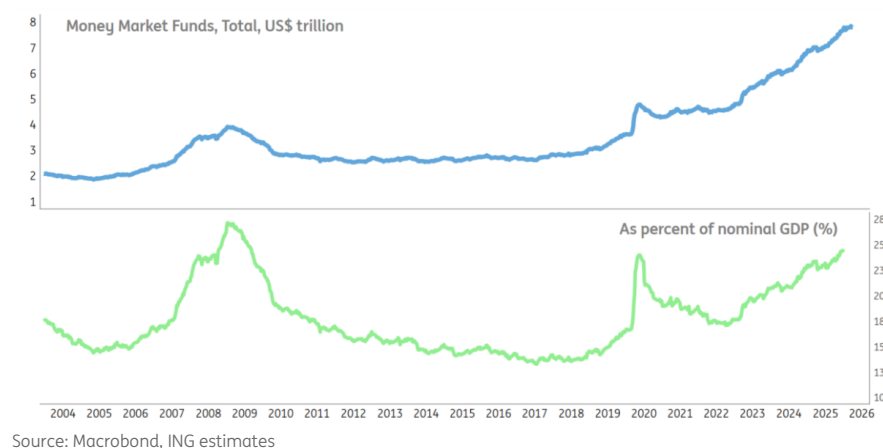
Then there is the complication of a transition from the current excess reserves environment, potentially back towards a "scarce reserves" environment, as indicated by Kevin Warsh (but without specifics). Selling the bonds is relatively straightforward; far less straightforward is how to get back to the prior regime for reserves management and how the funds rate is set, along the way, and in the future.

One aspect that can help here is the revision to the leverage ratio requirements as of 1 April 2026. The fact that the larger banks will, as a result, have more capacity to buy Treasuries and/or engage in repo is potentially a huge benefit. The weak link in the current structure has been the capacity for tightness in repo to bully the effective funds rate higher, primarily on a relative-value play. Larger banks in the game could and should tame the tendency for repo to over-tighten at times.

There is a link here with reserves, too, as the Federal Reserve has reverse-engineered a logic that repo tightness was associated with the fall in excess reserves to a level that exacerbated repo tightness. While a clear link between the two is not necessarily obvious, one does exist. We saw the same when the Fed went through its first quantitative tightening exercise in 2019, which culminated in a brief but severe repo tantrum. It was calmed through a Fed decision to buy bills to help add bank reserves. Fast-forward to 2025, and we saw the same, as the Fed resumed buying bills on repo tightness (since mid-December 2025, and ongoing).

Money market funds remain on the rise

Also on the rise as per cent of nominal GDP

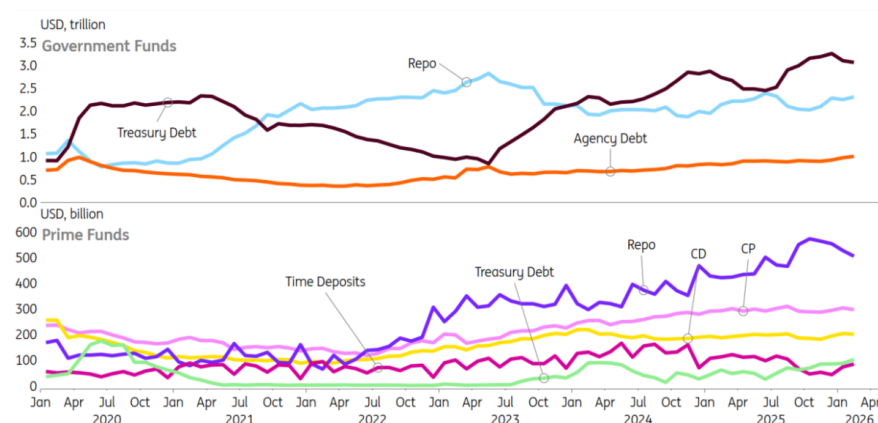


Money market funds are maintaining holdings while bank deposits are on the rise

Inflows to money market funds remain firm, with both institutional and retail participating. Prime funds continue to see their fair share of the increase. As a percentage of GDP, total money market funds are now approaching 25%, not far off the previous high of 27% in 2009. So far, the rate-cut narrative has not been a material issue, mostly as a return of 3-4% still represents a decent return on what is effectively a 'zero risk' product. The latest data shows money market funds holding steady, while large bank deposits have seen some decent inflows. At the margin, there have been some moderate institutional outflows from money market funds, while retail is holding steady. Not particularly big moves.

Money market fund holdings

Government Funds on top, and Prime Funds on the bottom



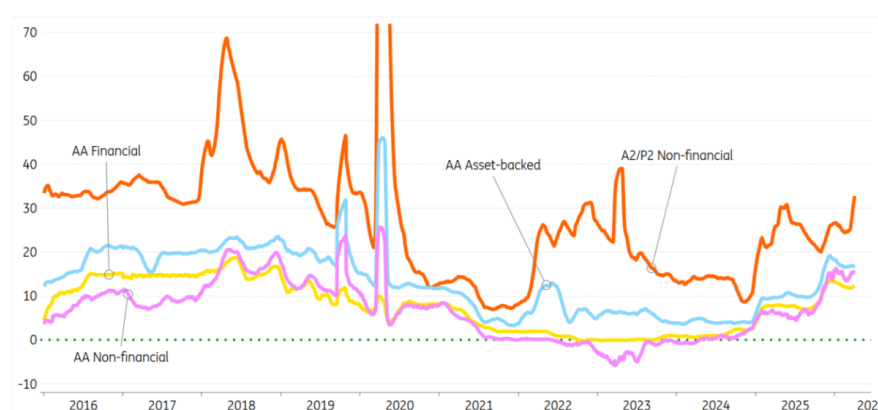
Source: Macrobond, ING estimates

In terms of specific exposures, Government Funds have seen a renewed rise in holdings of Treasury Debt (effectively bills). Extra bills are being issued to take pressure off coupon issuance. This should help maintain a concession in bills. Repo has been downsized relative to bills' holdings as a result, although repo has been on the rise recently.

In Prime Funds, repo (reflecting equity repo) exposures remain elevated, albeit off prior highs. Exposure to commercial paper (CP) has been gradually rising, while certificates of deposit (CD) and ordinary deposits have been steadier to a tad lower. Bank deposits have seen resumed rises, mostly into the larger banks (less so into the small banks).

Commercial paper alternatives

As spreads above the Fed's reverse repo rate (bp)



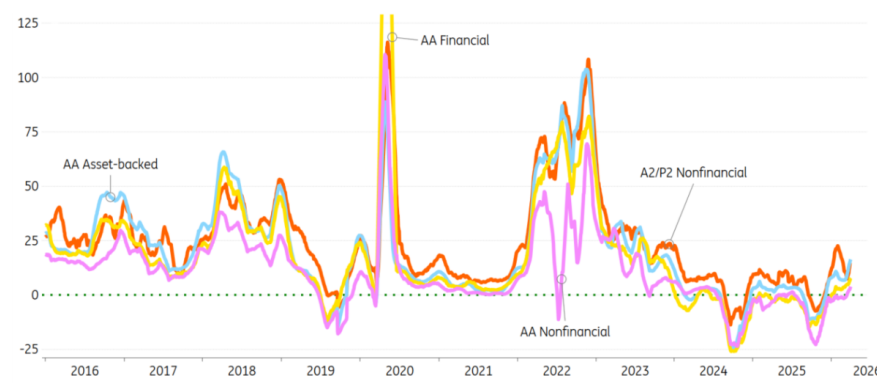
Source: Macrobond, ING estimates

In terms of attainable rates, the entire spectrum of overnight commercial paper rates remains comfortably above the Federal Reserve's reverse repo rate. This has reflected past relative tightness in repo, which has acted as an upward drag on other rates from a relative-value perspective, and on a concessionary T-bills environment.

With the Fed still technically in rate-cutting mode, we should see a mild concession when terming out. But that concession has recently reverted towards a premium, especially for the lower-rated product. If the Fed is to cut rates later in the year, then terming out in spread products at current levels could be seen as a decent play.

Terming out

From overnight (o/n) to three months (3mths), bp



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GBP Money Markets: Liquidity holding amid turmoil

Higher oil prices led to a significant repricing of money market curves, but whilst money market spreads have shown some movement since the start of the Iran conflict, the overall picture looks benign. A stable SONIA and no increase in the uptake of central bank liquidity suggest still ample reserves to satisfy demand

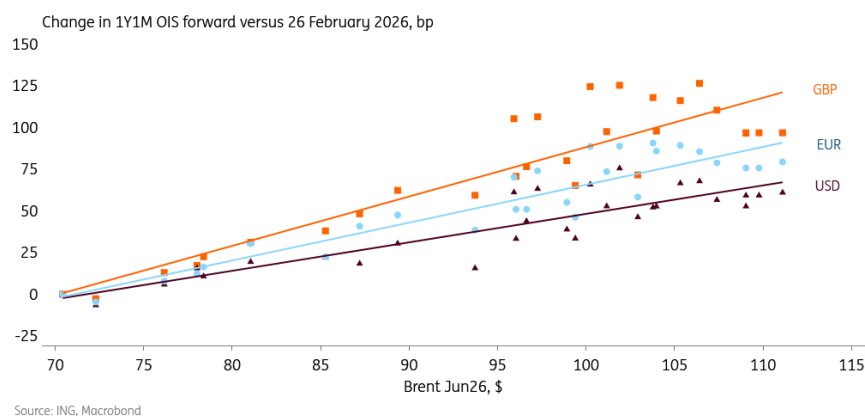


With oil prices in the driver seat, it can be seen in money market spreads, but the impact remains well contained overall

Oil in the driver seat brings great uncertainty

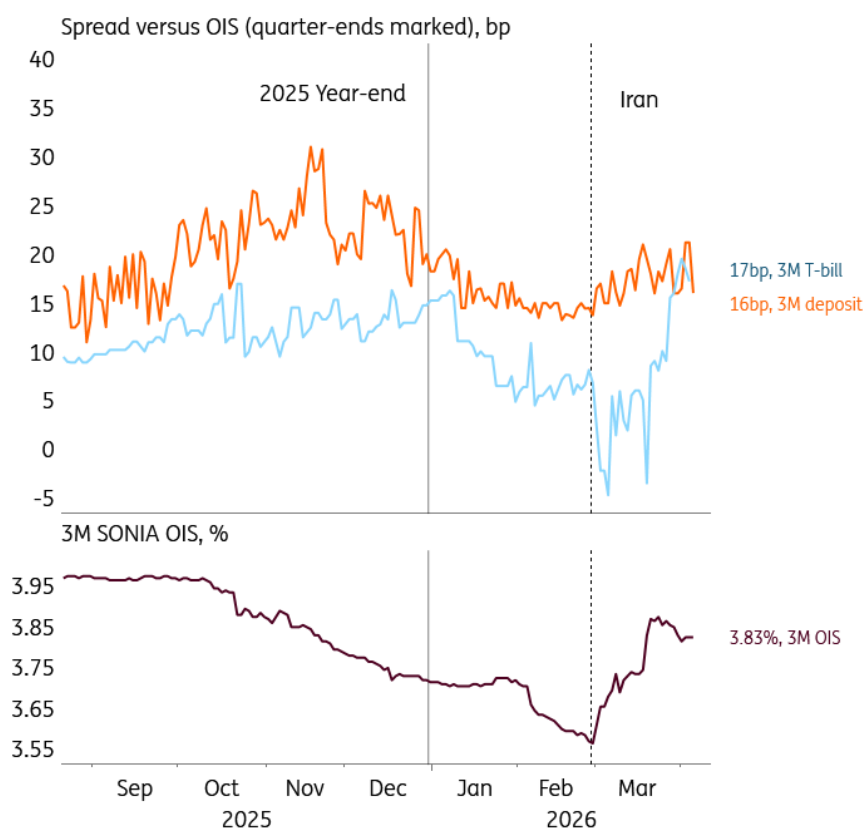
Markets have been driven almost entirely by the rising energy prices stemming from the Middle East conflict, and GBP money markets are no exception. Whilst two rate cuts were priced in at the end of February, the current curve implies around 30bp of hikes before the end of this year. The Bank of England (BoE) repricing has been relatively more hawkish than the Federal Reserve and the European Central Bank, but we think markets are running a bit ahead of themselves. And the BoE seems to agree with us, as its communication is pushing against a steep hiking cycle. Having said that, the narrative continues to be written by the oil price, which implies we still have plenty of uncertainty ahead.

GBP rates markets are more sensitive to oil than peers



The market shock since the start of the Iran conflict is evident in money-market spreads, but the impact remains well contained overall. The 3-month spread between SONIA OIS and bank deposits rose by a few basis points during March, but remained much tighter than most of 2025. The widening might be attributed to increased demand for liquidity from banks, but given the relatively benign moves, we don't deem this disconcerting. The sharp moves in 3-month Treasury bill spreads can be explained by the volatility in swap rates, and the general picture does not raise alarm bells.

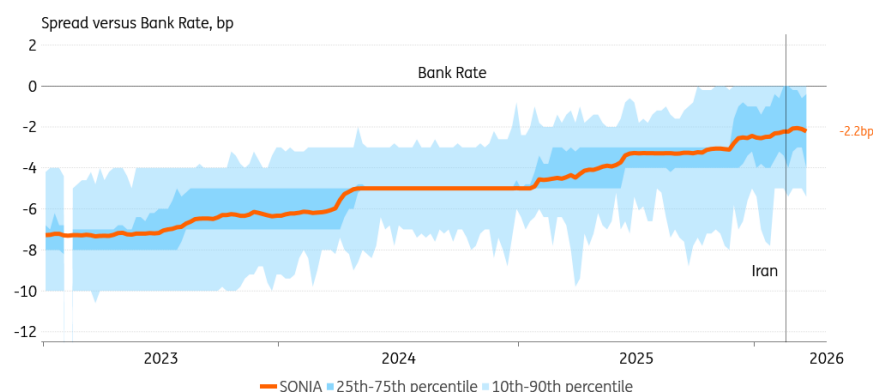
The Iran conflict is triggering some volatility, but nothing concerning



Source: ING, Macrobond

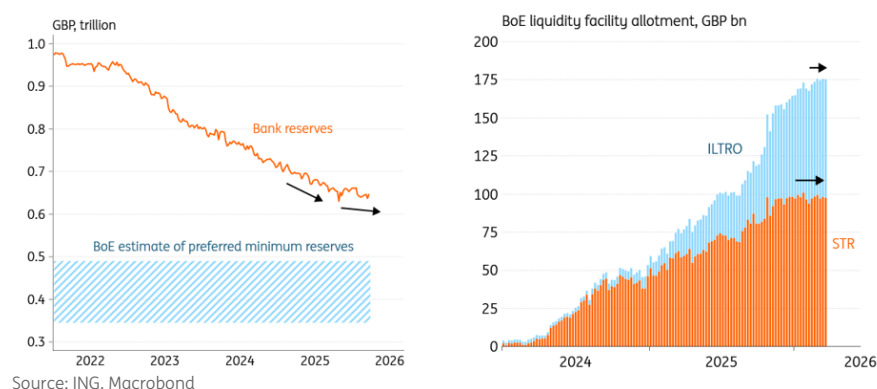
When looking at alternative indicators for liquidity in the financial sector, we also don't find signs of significant market stress. SONIA, for instance, still trades at around 2bp below the Bank Rate, which means banks' demand for reserves has not risen materially. This is also consistent with the relatively muted uptake of the BoE's liquidity facilities. Both the Short-Term Repo (STR) and Indexed Long-Term Repo (ILTR) saw a stable uptake throughout March.

SONIA continues to trade around 2bp below the Bank Rate



Source: ING, Macrobond

Banks did not increase uptake of central bank liquidity



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FX Daily: Volatile truce

The dollar has found some firmer ground after Iran said the ceasefire had been violated yesterday. Fresh positive headlines on peace negotiations and Hormuz reopening should still asymmetrically favour high-beta/EM currencies, but euro gains may prove more sustainable as ECB pricing could prove sticky around 50bp of hikes



[Sign up here](#) for our webinar **Iran ceasefire: What next for markets and the economy?**
Today at 09:00 BST/10:00 CEST

➔ USD: Fed minutes highlight dual risks

Higher beta and carry currencies have led the rebound against the dollar since the ceasefire announcement. Beyond their natural sensitivity to the equity rebound, FX investors may be positioning for a gradual return to conditions of lower volatility, which tend to favour carry and EM FX, alongside some stickiness in energy prices to which some high-beta currencies are positively exposed.

We suspect this preference for higher beta currencies over lower beta, more liquid alternatives

such as EUR, GBP and JPY can persist as long as markets are not given a reason to question the de-escalation narrative. Iran said yesterday that the ceasefire had been violated, helping the dollar recover a small portion of losses. That serves as a reminder that the situation remains highly uncertain and that small bouts of re escalation are still possible even if the conflict moves towards a broader resolution.

On the macro side, the Federal Reserve minutes yesterday caused a small hawkish reaction – with swap rates now embedding only 7bp of easing by year-end after touching 15bp earlier yesterday. The main highlight of the minutes, in our view, was however the reinforcement of two-side risks stemming from the war, with faster cuts discussed as an option should job losses outpace inflation. We see room for dovish repricing in Fed expectations from here – a dollar negative.

Today, there are some US data releases to watch. February core PCE inflation is expected to come in close to 0.4% month-on-month, though it is largely pre war and therefore of limited relevance. Jobless claims remain interestingly low, and the question is whether a delayed pick up finally materialises in one of the coming weeks. Personal income figures are also pre war, and the third estimate of 4Q GDP should have little market impact.

Headline trading still dominates. Evidence that traffic through the Strait of Hormuz is picking up could add pressure on the dollar, but a more durable move would likely require signs that the ceasefire evolves towards a lasting arrangement. Otherwise, markets may start to grow nervous again once the two week ceasefire nears expiry.

Francesco Pesole

➔ ECB: Sticky ECB pricing can help

This is not an environment for outright EUR strength given investors' preference for higher beta currencies. Still, European Central Bank pricing could give the euro more durable support than elsewhere. While falling energy prices have driven a dovish repricing in the EUR swap curve, markets continue to discount around 58bp of tightening by year end.

We doubt that a modest further decline in energy prices alone would be enough to push ECB pricing below 50bp. Rate cycles at the ECB are typically framed around two 25bp moves or nothing at all, meaning a material dovish shift would likely require explicit guidance rather than just lower oil prices.

With no permanent ceasefire in place and uncertainty around oil flows persisting, the ECB is unlikely to rush towards a decisively dovish narrative. That could prompt the euro to outperform other currencies (like USD) where pricing appears to be more flexible on the dovish side.

A jump to 1.180 seems a bit premature given lingering volatility in the Gulf, but sticky ECB hawkish bets favour a return to the 1.170-1.173 area in EUR/USD.

Francesco Pesole

⬇ GBP: Downside risks vs EUR

We struggle to see much downside potential in EUR/GBP following the drop to 0.870, which largely reflected sterling's higher sensitivity to the sharp equity rally.

As discussed above, EUR rate expectations may prove sticky, while Bank of England dovish repricing could come through more smoothly if energy prices keep declining. After all, the BoE was already ready to cut before the war began, and we have a conviction view that second round effect risks in the UK are significantly lower than in 2022.

Some BoE speakers (Governor Andrew Bailey, as well as Catherine Mann and Megan Greene) next week could offer markets an opportunity to trim pricing below one hike this year (currently 30bp), providing some bullish fuel for EUR/GBP. We still expect the pair to return to 0.880 this quarter.

Francesco Pesole

PLN: No change in rates for some time

The National Bank of Poland is likely to leave rates unchanged at 3.75% today. This is a meeting without a new forecast and the first meeting after the March rate cut. Some MPC members indicated before the meeting that rates will likely remain unchanged for a longer period of time and some mentioned that the March cut was the last. Attention will be on the Governor's press conference today, which will likely determine the central bank's further direction.

The market has priced out about one and a half rate hikes after the US-Iran ceasefire announcement and remains priced at less than 20bp at the one-year horizon. This is the lowest in the CEE region and rates pricing is quickly returning to normal. If the central bank confirms its tendency to wait longer and do nothing today and, at the same time, the geopolitical situation stabilises further, we should see some pressure on the remaining rate hike pricing, although the market will probably keep some optionality here. On the other hand, the government has aggressively entered the fuel market, which should keep inflation under control and stay roughly within the central bank's tolerance band. Our forecast is for rates to remain unchanged for an extended period.

EUR/PLN saw its biggest one-day fall in a year yesterday, erasing roughly half of the move up from pre-conflict levels. Still, EUR/PLN and the rest of the region are mainly driven by geopolitical headlines, and today's NBP meeting will have little impact. However, assuming that the risk-on sentiment continues and the US-Iran ceasefire holds, the zloty has further potential to erase previous losses, although reaching pre-conflict levels below 4.220 will take longer.

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The Commodities Feed: Hormuz remains blocked for now

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached



ICE Brent is back above USD 97/bbl

Energy – Oil rebounds amid Hormuz uncertainty

Oil prices rebounded on Thursday after suffering their sharpest daily drop since April 2020, with ICE Brent rising more than 3% to trade back above USD 97/bbl. Prices rebounded as fighting in the Middle East continued, and the ceasefire outlook deteriorated, keeping uncertainty around the Strait of Hormuz firmly in focus.

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached.

Israel has launched its largest assault on Lebanon since the start of its invasion, while President Donald Trump said the US military would “remain in place in, and around Iran, until such time as the real agreement reached is fully complied with.” An Iranian delegation is due to arrive in Islamabad on Thursday night.

Oil tanker traffic through the Strait of Hormuz has been halted, heightening supply risks. With a full reopening of the strait unlikely in the near term, oil prices are expected to remain supported, as

disruptions linked to reduced output and refinery shutdowns will take time to unwind.

US inventory data was mixed. The EIA reported that crude stocks rose by 3.1m barrels last week, marking a seventh consecutive build and well above expectations for a 0.76m barrel increase. Total crude inventories reached 464.7m barrels, the highest level since June 2023, and stand around 2% above the five-year average. Stocks at Cushing edged up by 24k barrels to 31.5m barrels. Crude imports fell by 130k b/d to 6.3m b/d, while exports jumped by 628k b/d to 4.1m b/d.

In refined products, gasoline stocks fell by 1.6m barrels for an eighth consecutive week, while distillate inventories declined by 3.1m barrels, extending drawdowns into a second week and exceeding market expectations.

Meanwhile, European gas prices posted their steepest daily fall in more than two years. TTF futures dropped over 20% to an intraday low of EUR 42.5/MWh, the lowest level since 2 March, reflecting optimism around a potential temporary reopening of the Strait of Hormuz. Markets are watching US-Iran talks closely, with no LNG tanker having transited the strait since the conflict began. EU gas storage has edged higher to 28.8% full, still well below 35% a year ago and the five-year average of 41.6%.

Metals – Gold remains sensitive to geopolitical developments

Gold pared earlier gains after Iran's parliamentary speaker said last night a temporary ceasefire with the US had been violated. Reports of continued fighting, including Iranian strikes on Gulf states, and ongoing disruption to traffic through the Strait of Hormuz kept geopolitical risks elevated. Uncertainty also persists over whether the ceasefire extends to Israel's campaign in Lebanon.

Earlier in Wednesday's session, gold had climbed above \$4,800/oz alongside global equities as a two week truce between the US and Iran briefly lifted risk appetite and eased fears of a broader economic shock.

Conflicting geopolitical signals are driving choppy price action in gold, with safe haven demand offset by shifts in risk sentiment and dollar moves.

Looking ahead, gold is likely to remain headline driven in the near term, with further clarity on the durability and scope of the ceasefire key for determining whether prices can regain upside momentum.

In industrial metals, LME copper erased earlier gains and traded lower on Thursday as renewed hostilities dented confidence in the fragile US-Iran ceasefire. On the supply side, rising inventories added pressure, with LME stocks climbing by a further 6,500 tonnes for a third straight session to 385,275 tonnes, the highest level since March 2018, underlining subdued demand despite the recent improvement in sentiment.

Meanwhile, the latest LME COTR report shows that speculators added to net long positions in aluminium for a second consecutive week, with net longs rising by 11,567 lots to 94,554 lots in the week ending 3 April. The increase was largely driven by short covering, with short positions falling by 28,801 lots amid tight global supply. Elsewhere, net long positions in copper rose by 7,167 lots to 45,896 lots, while zinc net longs edged up by 442 lots to 40,613 lots.

Agriculture – Ukraine grain shipments decline

Data from Ukraine's Agriculture Ministry shows that grain and legume exports in the 2025/26 marketing year have fallen to around 26.8mt as of 8 April, down 31% year-on-year. Corn shipments totalled 14.8mt, a 16% annual decline, while wheat exports fell 24% YoY to 10.2mt. The drop continues to reflect disruptions from ongoing Russian attacks on Ukraine's port infrastructure.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate



One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on

the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

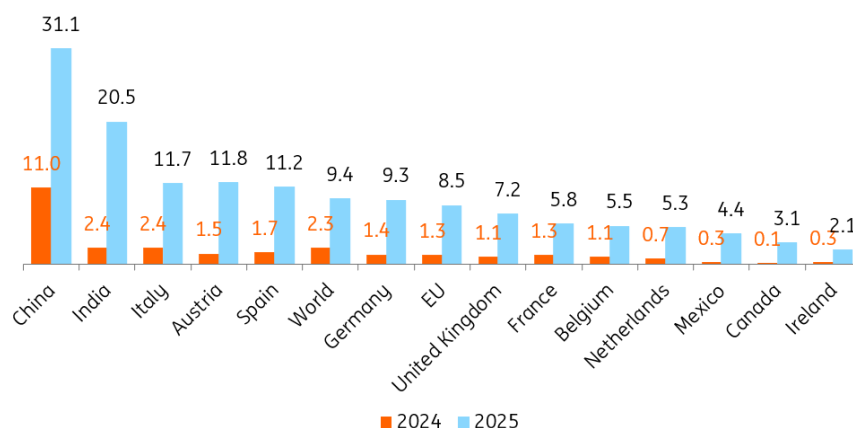
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

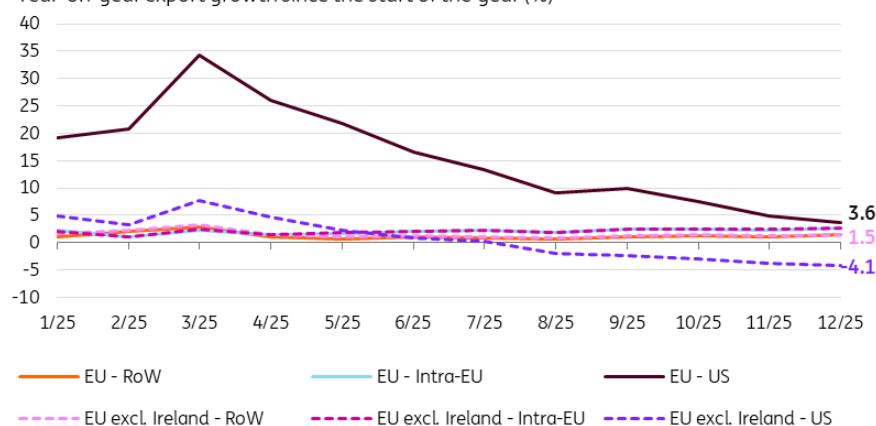
EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect

EU export in 2025

Year-on-year export growth since the start of the year (%)



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

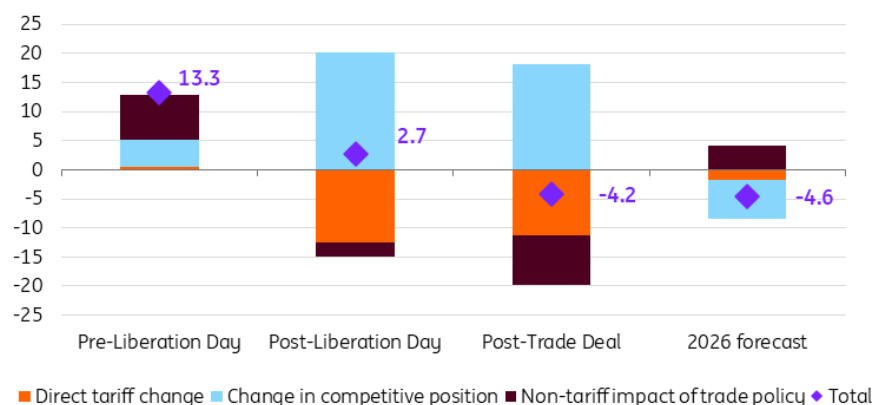
1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU↔US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US

Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline

numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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CNY at a glance: China's yuan moves into our bullish scenario

News of a US-Iran ceasefire has pushed the Chinese yuan higher, breaking through our previous forecast band and prompting an update. We're setting the new forecast band at 6.70-7.05, formerly our bullish scenario for the CNY this year



China's yuan has risen more than 2% against the dollar this year

6.70-7.05

Our updated 2026 USD/CNY fluctuation band

Adjusted lower amid continued bullish factors for the yuan

CNY has outperformed most currencies vis-a-vis the dollar this year

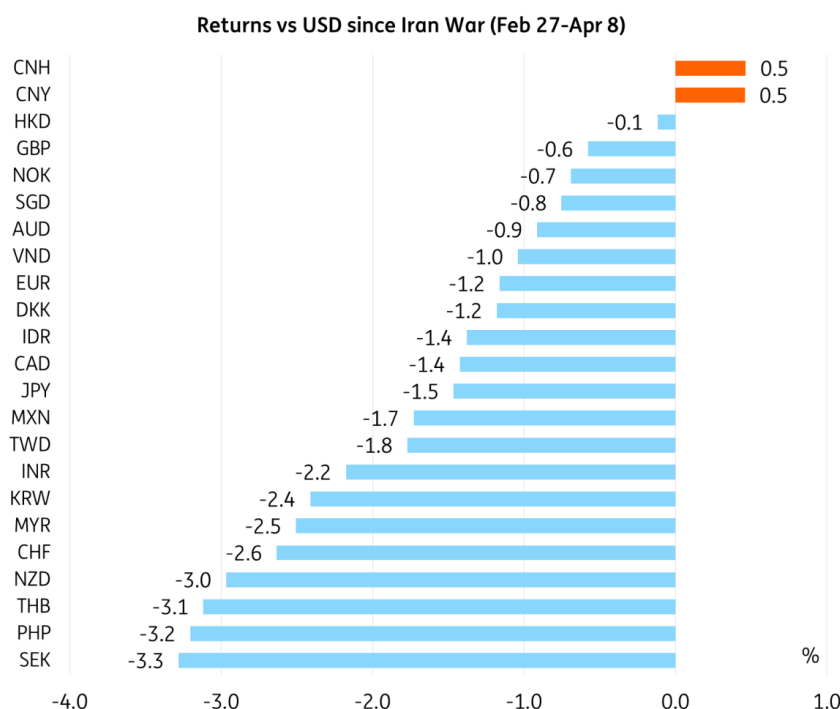
The Chinese yuan has tended to fall in the middle of the pack in terms of its performance versus the US dollar in the past few years, as the currency stability objective of the People's Bank of China has led to very limited movement in the yuan.

This has changed so far in 2026. Year-to-date, the CNY has actually been one of the notable outperformers against the USD, up 2.3%, easily outperforming most other Asian currencies on the year. Since the outbreak of the Iran war to the time of writing, the yuan (CNY) and the offshore yuan (CNH) are the only currencies in our tracked basket that have actually gained against the USD.

So what's the story behind this surprising outperformance?

- First, the market's bullish sentiment has carried forward. We [wrote about the building bullish sentiment](#) in the last update of this report in January. In our conversations with a wide range of market participants, we note that this bullish sentiment on the CNY remains intact and seemingly quite widespread.
- Second, policymakers appear content to allow for further CNY strengthening. There was some question about this when policymakers cut the foreign exchange risk reserve ratio from 20% to 0% in what was an apparent attempt to halt the pace of CNY appreciation. However, after the outbreak of the Iran war, and the immediate spike in oil prices, there appeared to be a change of heart, as the PBoC's daily fixings suggested a tolerance for further appreciation.
- Third, macro level drivers continue to suggest room for further appreciation of the CNY versus the USD if the situation in the Middle East is brought under control. China's exports are off to another strong start this year, suggesting that the current account surplus is going to remain a positive factor for the yuan. Meanwhile, the currency has largely weathered the widening US-China yield spread, which should resume its narrowing trend if inflation expectations come under control. That is far from guaranteed. Since the outbreak of the war, two dominant narratives have emerged: warnings from experts that markets may be underestimating the impact, and a widely held expectation among investors of a TACO ('Trump always chickens out') scenario and eventual normalisation.
- Fourth, the CNY has been a surprising winner of the Iran war, despite China's role as the largest oil importer in the world. At least a few market participants have mentioned re-evaluating the "China risk premium" amid rising global uncertainty elsewhere, which has led to China looking more and more like the adult in the room. While the actual direct impact has been tangential at best, discussions of the potential damage to the petrodollar system and rise of the petroyuan – aided by Iran's plans to collect a fee for passage through the Strait of Hormuz to be collected in CNY or cryptocurrency – may have also added to longer term bullish expectations for the CNY.

CNY and CNH have been the surprising outperformers since the Iran war broke out



Source: Bloomberg, ING

PBoC fixings suggest no opposition to gradual appreciation

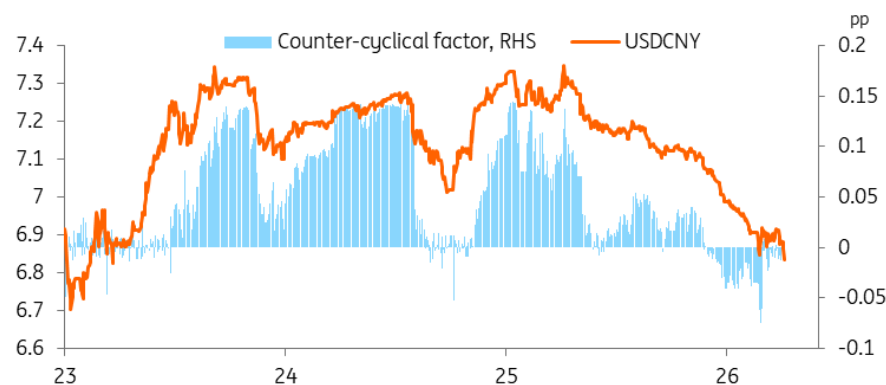
In this report series, we've often talked about the PBoC's currency stability objective as one of the key deciding factors for the trajectory of the USD/CNY. The PBoC has exerted its influence on the currency primarily through its daily fixings. The counter-cyclical factor, which is the adjustment it makes to the daily fixing versus the previous day's market closing price, has been heavily relied on to curb excessive movements of the USD/CNY during periods of heavy market speculation. In the last few years, this has mostly been used to push back against heavy depreciation pressure. Towards the end of 2025, however, this pattern started to reverse, with the PBoC using fixings to push back more cautiously against appreciation.

The PBoC's counter-cyclical factor has been very close to neutral for most of March and the start of April, after leaning more forcefully against rapid appreciation in previous months. This has sent a signal that policymakers are open to the CNY continuing to strengthen, and remains one of the main factors supporting CNY appreciation. This was a little surprising as the counter-cyclical factor and the cutting of the foreign exchange risk reserve ratio from 20% to 0% had appeared to signal an effort to rein in CNY appreciation back in February.

The outbreak of the war in Iran looks to be the reason for the renewed embrace of a stronger CNY. China remains the world's largest oil importer, and while a slight appreciation of the CNY certainly won't offset the surge in oil prices, it can at least help mitigate the potential pain. Other factors may include the senior-level comments on attempting to balance trade and ramp up imports, to which a strong CNY would also contribute. Furthermore, it is possible that higher inflationary pressure and uncertainty from the war will delay potential PBoC rate cuts; as a result, we have

pushed our forecasts back from 2Q26 to the second half of the year. Even though PBoC cuts tend to be modest, a delayed rate cut is nonetheless a positive factor for CNY appreciation.

Counter-cyclical factor has been mostly neutral compared to previous years



Sources: Bloomberg, CEIC, ING

CNY has shrugged off a sharp widening of yield spreads

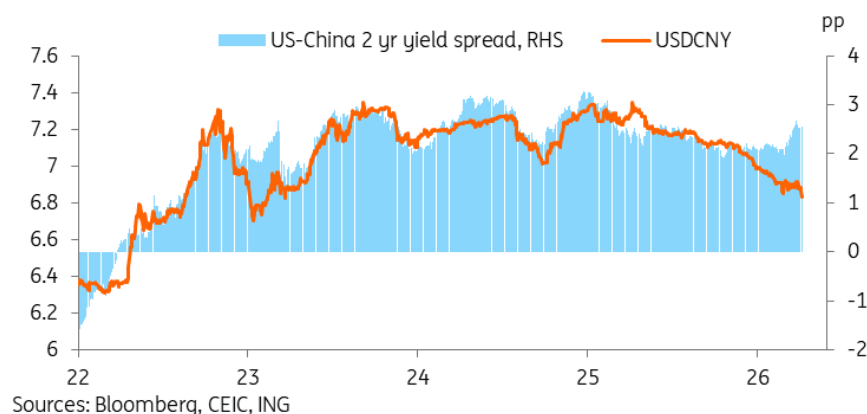
US-China yield spreads have been a major driver of the USD/CNY's trajectory over the past few years. Higher US yields have been a key reason why Chinese exporters have kept a large share of their proceeds offshore, contributing to CNY weakness in recent years. However, as the Federal Reserve resumed its rate cutting cycle, the yield spread began a more predictable narrowing trend from early 2025 through early 2026.

The Iran war has quickly derailed this story, as US yields moved higher while Chinese yields edged a little lower. Over recent weeks, the two year US-China yield spread widened to its highest level since February 2025. Yet this translated into only a modest softening of the CNY over the same period, and by the time of writing, renewed prospects for peace have led markets to largely shrug off the wider yield spread entirely.

There's still a relatively high level of uncertainty on this front, mostly from the US side of the equation. If inflation remains under control, and the Fed eventually resumes rate cuts after a few pauses, we'll likely see a return of the narrowing yield spread story, which will further fuel CNY appreciation expectations. This is one of the reasons why the CNY has strengthened considerably on today's news of a two-week ceasefire.

However, if we move into a longer rate hold, or worse, a Fed rate hike environment where the yield spread stays elevated, the bullish case for the CNY begins to look weaker. This is a potential outcome of a longer war scenario, and remains worth monitoring.

CNY has continued to appreciate despite spike in yield spreads



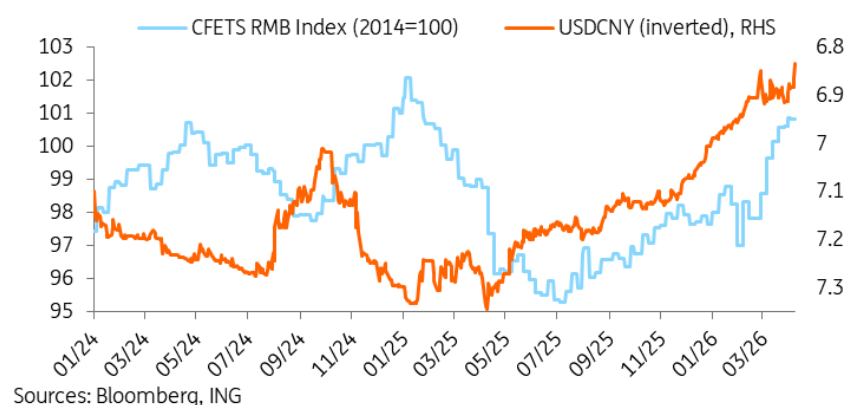
CNY's recent outperformance across the board may not hold if peace is successful

We wrote earlier about the CNY's surprising outperformance against the USD since the start of the Iran war, beating the other currencies in our monitored basket.

As such, it should come as no surprise that the CFETS RMB index, which heavily weights the euro (17.9%), Korean won (8.5%), and Japanese yen (8.1%) alongside the US dollar (18.3%) has also strengthened noticeably in the same period. This index is up 2.3% since the start of the Iran war, and 2.9% year-to-date.

While we are still optimistic about the CNY's prospects against the USD, the performance versus other pairs could lag behind by comparison. Other currencies, which have generally fared poorly after the Iran war, could bounce back more strongly, limiting the CNY's relative scope for further appreciation. As such, the CFETS RMB index could underperform versus the USD if we see a scenario where the peace holds and the strong dollar backdrop fades.

CFETS RMB index has also outperformed in the recent strong dollar environment



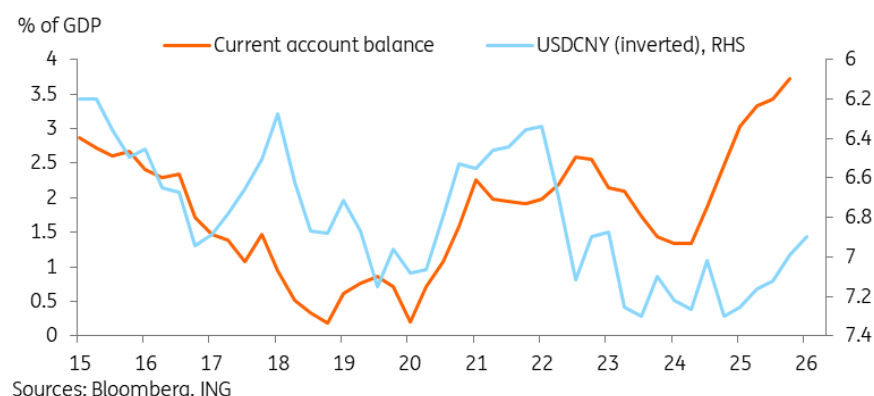
Current account shows no sign of letting up so far in 2026

China has been running an especially strong current account surplus in the last couple of years, as external demand has been resilient despite the trade war. Despite facing a largely unfavourable base effect, China's trade growth appears to be off to another strong start this year. While imports look likely to rebound as well this year, China's trade surplus will remain very significant.

This is relevant for the CNY as the currency has shown clear historical correlation with the current account, as exporters tended to remit proceeds back into the CNY. This relationship appears to have broken down in recent years. While the current account balance has risen sharply, USD/CNY has remained largely range bound. This reflects exporters holding a greater share of foreign currency proceeds due to more attractive yields abroad relative to China, as well as generally subdued domestic investment appetite – underscored by the fact that 2025 marked the first year on record in which fixed asset investment contracted on an annual basis since data publication began.

What does this mean for the CNY? Assuming that exporters eventually begin to convert holdings back to the CNY – either to meet domestic obligations or as yield spreads narrow – this would translate into a lot of pent-up demand for the CNY. We have already observed this to be a factor during the CNY's rally to date, but considering the current levels for the CNY and the current account balance, it could be argued there's still plenty of room to go.

Current account balance suggests more strength for CNY ahead



Rise of the 'petroyuan' remains a long-term theme rather than a short-term catalyst

Iran's potential move to turn the Strait of Hormuz into a tolled passageway – requiring payments in cryptocurrency or CNY – has sparked lively debate about what this could mean for the yuan's future. This includes renewed interest in the so called 'petroyuan', perhaps last discussed prominently near the start of the Russia-Ukraine war, when sanctions on Russia resulted in much of the country's oil trade with China moving to the CNY.

One interesting argument was that, if the Iran war were to end with Iran successfully controlling the Strait of Hormuz, this could lead to a system in which payments for passage are collected in CNY, and eventually to oil trade flows through the Strait and into Asia being denominated in CNY. In this scenario, the Iran war would be seen as dealing a major blow to the petrodollar system,

with the CNY emerging as a key beneficiary amid an acceleration towards a 'petroyuan' system, and the world taking another step towards a more multipolar order.

It's not surprising why this topic has garnered interest and discussion. However, there are a few logical leaps that appear to occur here; it's assumed that the trade going through the Strait would be priced in CNY, rather than just the fee for passage. This would require the cooperation of all of the Gulf states, and there hasn't been anything to indicate that such a shift is currently in the works. It also assumes that Iran permanently assumes control of the Strait, and passing ships willingly pay the fees.

In the near term, the impact is likely to be very incremental. After all, there is not a strong level of clarity on Iran's criteria for letting ships through the Strait of Hormuz, with only a small number of tankers currently permitted to transit. Among those ships that have secured passage, it is unclear whether or not a toll was paid, and whether the payments were made in CNY or other currencies.

In a thought exercise where we take the most optimistic assumptions, where traffic to the Strait of Hormuz is fully restored to around 100 vessels a day or 36k vessels a year, and that every single vessel that passed through the Strait ended up paying a USD 2mn equivalent fee in CNY, we'd still only get a somewhat paltry USD 72bn or RMB 491bn.

In a vacuum, this increases CNY demand and global usage. But how significant is that in the grand scale of things? Considering that China's Crossborder International Payments System (CIPS) handled around RMB 180tn of payments in 2025, an extra RMB 491bn wouldn't be negligible but far from a gamechanger.

Nonetheless, the fact that the CNY was requested as a payment currency certainly is something interesting to watch. It is a real-world example of the CNY's rising clout and a vote of support for China acting as a counterweight to the US-dominated financial system.

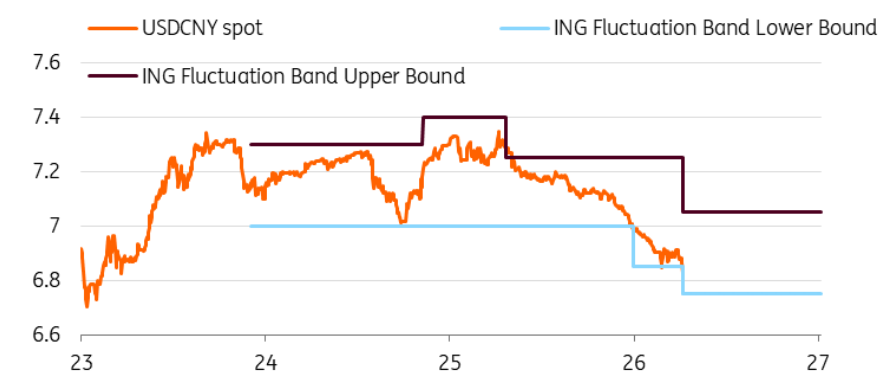
CNY's continued outperformance pushes us into the bullish forecast band

We are moving on from the previous baseline forecast fluctuation band of 6.85-7.25 for the USD/CNY, and lowering the new forecast fluctuation band to what was formerly our bullish scenario forecast of 6.70-7.05. We lower the year-end USD/CNY forecast to 6.75.

The CNY has performed stronger than expected after policymakers ended the pushback against appreciation, and has largely shrugged off a strong dollar environment and elevated global uncertainty to continue its appreciation trajectory.

Risks to the band look roughly balanced at this point. Bullish factors remain in place, but markets also look largely positioned for this already, and it would still be a little surprising to see the PBoC tolerate the CNY strengthening past 6.70 this year; recall that the 6.70 level was basically the strongest for the CNY since currency stabilisation became a more prominent theme back in 2023. On the other hand, a bearish reversal past the top end of the band would likely require new catalysts such as a substantially more hawkish global central bank environment widening China's yield spreads versus other countries, or a renewed pessimism setting in on China's growth. These are certainly possible if we see a strong inflationary impact from the war in Iran, or if China's efforts to bolster domestic demand fall short.

Forecast band shifted lower as CNY continues to outperform



Sources: Bloomberg, ING

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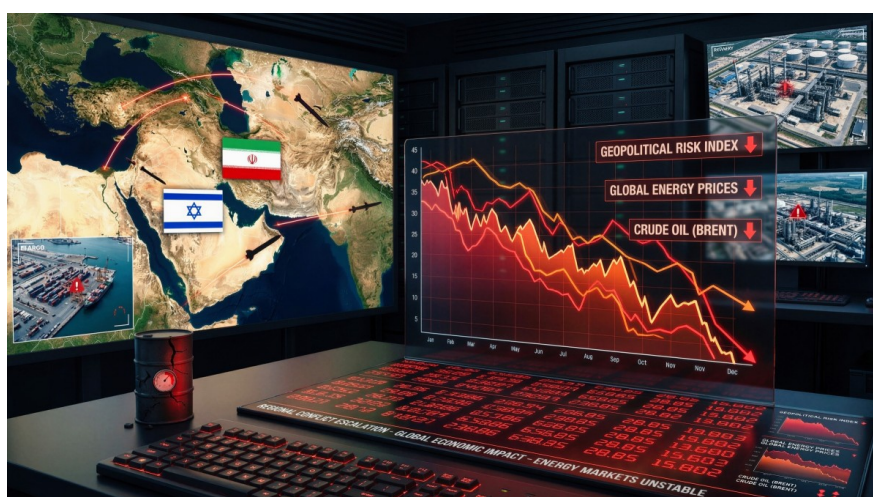
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Rates Spark: As the dust settles, there's still a price to pay

Lower oil prices help rates reduce hawkish takes on central banks, resulting in diminished expectations for an April hike from the ECB or BoE, and a re-build in a Fed rate cut rationale. But a relatively flat 2s5s suggests that the hit to the medium-term growth outlook might be more lasting. Curves can still steepen, though, overall, from both ends



Market reaction to the two-week ceasefire has been risk-on and, in general, relief trades

The dust settles on the craziness of the past 24-48 hours, and talk now rumbles on

Our reading of events, as they unfold, point to the logic of upholding the Iran war ceasefire, and an extension through to a virtual end to these specific hostilities. The US will want to get hands on Iran's enriched uranium, and if they do, may then hold their nose as Iran assumes a 'monitoring' role over the Strait (even if no more than a covert thing).

The market reaction to all of this was predictable; risk-on, and generally relief trades. For the rates market, front ends are under less rate hike pressure, and in the US the rate-cut story for later in 2026 is very much in play (has remained our view). For longer maturities, it's more opaque. The reality is, we are still left with an elevated inflation dynamic through the coming number of months, and that remains an issue for inflation unprotected fixed-income product.

The impact reaction of the ceasefire news has seen yields fall right across curves, but the lingering

effect risks a subsequent re-elevation in longer tenor yields, steepening curves from both ends. The 5yr area of the US curve has been re-richening, in line with a rate cut expectation, but that often co-exists with overall curve steepening.

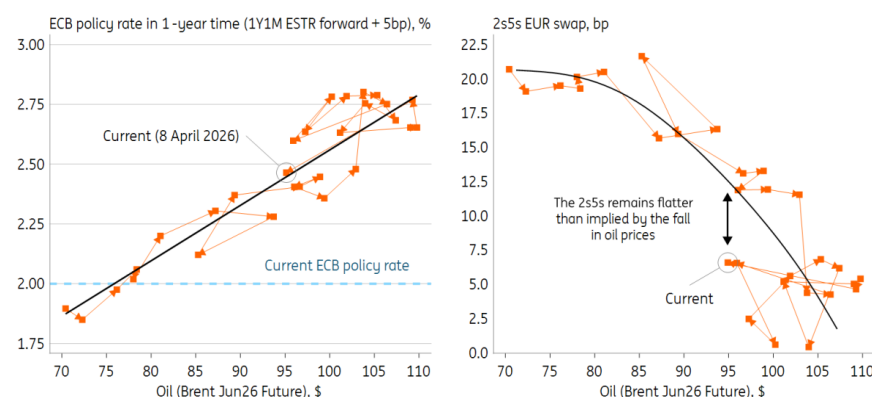
Markets are retracing some of the rate hikes but growth impact may be more lasting

With oil trading well below \$100 again, rate markets have more room to breathe and so do central banks. At first sight, rates are simply following the playbook from the past month and are returning to the state when oil was at these lower levels before. This is in line with the idea that any inflation triggered by oil will only be short-lived with limited second-order effects.

As a consequence, markets are less set on European Central Bank or Bank of England rate hikes already in April, which should help mitigate rates volatility in the near term. Central banks will be reluctant to hike but at the same time cannot risk a perceived policy error. With near-term hiking expectations smothered for the time being, central bankers will have a bit more time to decide on the next move. In effect, this helps reduce the risk of a surge in longer rates if central banks are perceived to be reacting too slowly, resulting in a further rise in inflation expectations.

But when we dive deeper into the curve we can see that the move is not fully symmetrical. The EUR and GBP 2s5s curves remain flatter than before, which suggests that the medium-term growth outlook could face a more lasting hit. Because as the belly of the curve outperforms, markets are flagging a need for monetary easing to address growth concerns in the period after the initial inflation shock.

Front-end is retracing on lower oil prices, but the belly of the curve suggests a still worsened growth outlook



Thursday's events and market views

All eyes remain on the Middle East and whether the ceasefire can hold. Data is less relevant, especially when it pertains to the month of February, such as the US personal spending and income data and the PCE deflator, the latter usually the Fed's preferred measure of inflation. We will also get the final US GDP reading for fourth-quarter 2025. At best, this data can give a better sense of the economy's starting point going into the crisis. The weekly jobless claims data is the only more contemporaneous release, and it comes on the heels of

last Friday's strong jobs report.

On the European side, German and Spanish industrial production data may get some attention. But most want to listen to what ECB officials are saying now that geopolitical situations no longer look as dire. Scheduled to speak is the Dutch central bank's Sleijpen.

In primary markets, Finland is selling a new 10y benchmark via syndication. Other European supply will come from Spain, which reopens 3y, 5y and 10y bonds as well as an 11y inflation-linked bond. But also in the broader SSA space, it appears issuers are using the window of opportunity, with also KFW (5y green), COE (7y social) and UNEDIC (6y social) having mandated bond sales.

Elsewhere, the UK will auction 7y gilts (£4bn) and the US Treasury will auction 30y bonds (US\$22bn).

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Energy shock set to push building material prices higher

Higher energy costs are raising building material prices. Producers use less coal than they once did, but compared to 2022, they have the same exposure to oil and gas. Price increases from the Middle East conflict will therefore likely be passed on to buyers. Contractors should prepare for rising input costs



Producers of building materials such as cement, concrete and bricks rely heavily on energy

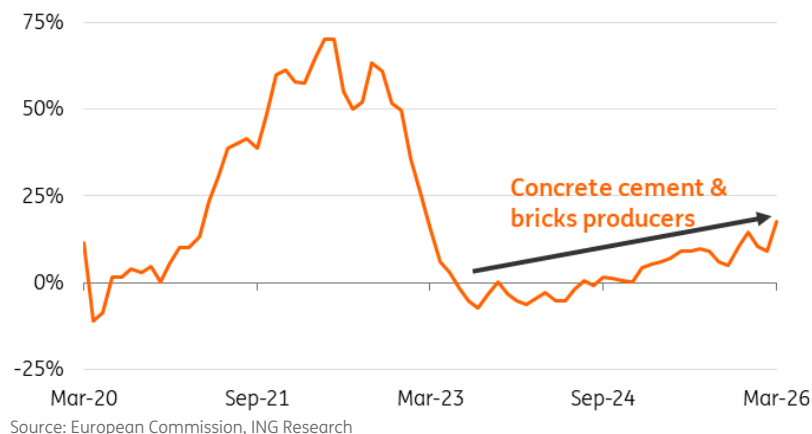
More price increases expected

Many sectors will be impacted by the current surge in energy prices caused by the conflict in the Middle East. [As noted previously](#), producers of building materials such as cement, concrete and bricks rely heavily on energy. If energy prices remain high, these manufacturers are likely to pass increased costs on to construction companies, which will put pressure on profit margins and lead to higher overall building costs. This, in turn, could result in reduced production volumes.

Early indications point to rising building material costs. In March, a net 18% of EU building materials suppliers anticipated increasing their sales prices over the next three months. This figure represents the highest percentage observed in three years since the energy crisis of 2022. Yet, the number doesn't come close to the levels of the energy crisis in 2022.

Rising number of building material producers expect price increases

Balance of building material producers in the European Union that expect to increase/decrease output prices (over next three months)



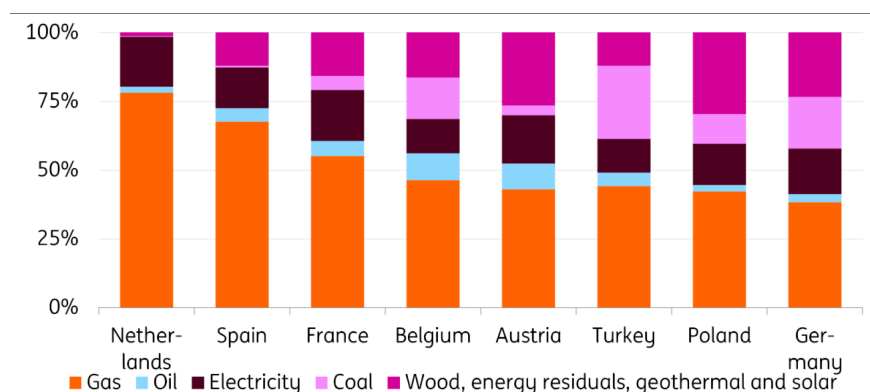
Source: European Commission, ING Research

Different energy sources among countries

Heating sources differ among producers across European countries. For example, gas is commonly used in the building material sector in the Netherlands and Spain. In contrast, producers in Poland and Germany depend more on coal, wood, natural energy inputs and energy residuals. This makes building material producers in the Netherlands and Spain relatively vulnerable to the current price increases in gas. Dutch producers are also reporting the strongest expected increase in output prices.

Building material producers in Spain & the Netherlands are highly depending on gas

Used share of total energy sources in terajoule in cement, concrete & brick industry, 2024



Source: Eurostat, ING Research

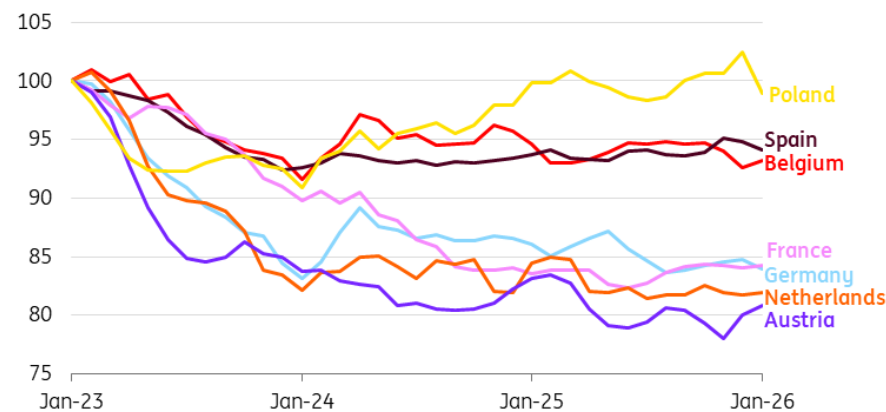
Building material production at a low level

The rising cost of energy is hitting the building materials sector at a challenging time. Many

countries have experienced significant production declines over the past few years, largely because fewer new residential and non-residential buildings are being constructed. [Building permits](#) for new homes have shown an uptick since the end of 2025, offering some positive signs for the sector. Yet ongoing market uncertainty, increased material costs and hesitant consumers may threaten this positive trend.

Building material production has declined across Europe

Volume of production in building material industry (eg. concrete, cement & bricks), Index January 2023, three-month average SA



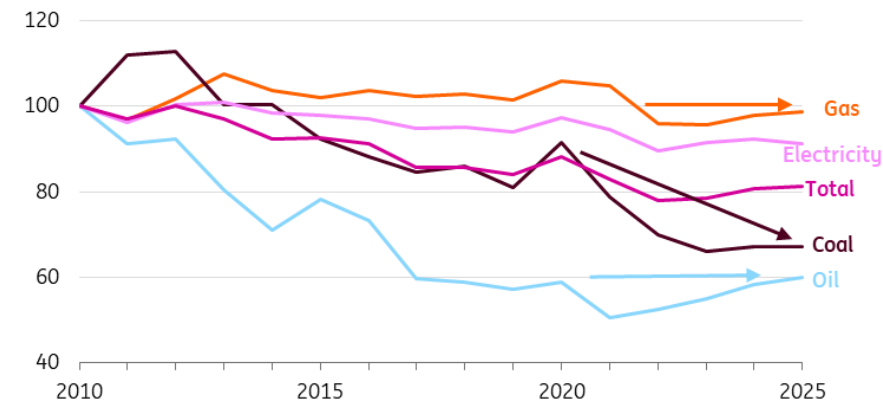
Source: Eurostat, ING Research

Decline of oil dependency, but not in the last five years

In the period 2010-2020, the amount of oil as a heating source has decreased substantially in the sector, although it hasn't witnessed a further decrease in the last five years. Between 2020-2025, companies mainly phased out the use of coal, while the relative amount of used gas has remained more or less the same for the last 15 years. Building material companies have become more sustainable due to the reduced reliance on coal, but the dependency on oil and gas hasn't really decreased. The higher energy costs are therefore still a burden to the industry.

Building materials sector moves away from oil and coal, but not yet from gas

Development of energy intensity per output (mtoe/ USD 2015 billions) in the EU building material sector



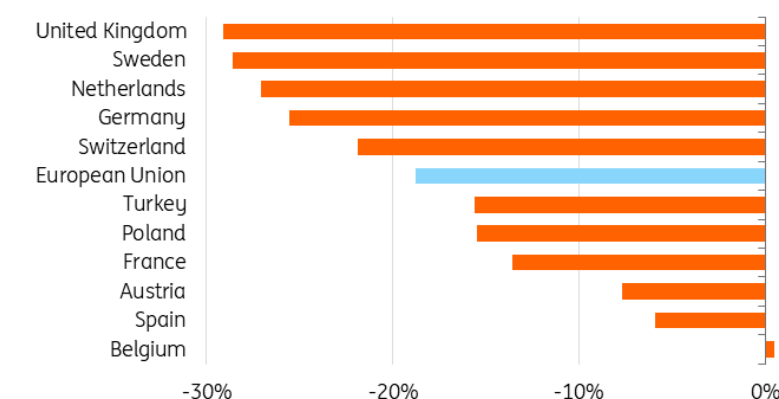
Source: Oxford Economics, ING Research

UK and Sweden frontrunners

Within Europe, the UK and Swedish building material producers stand out for having made strides in lowering their energy intensity. The UK, in particular, has taken major steps by phasing out oil and coal from production. For instance, UK Hanson Cement (part of HeidelbergCement) has sharply reduced coal use at its Ribblesdale plant and replaced it with biomass and waste derived fuel. In Sweden, reductions in energy intensity have been more evenly spread across coal, gas, and oil inputs.

UK & Sweden have seen largest decline in energy intensive building materials

Change in energy intensity per output (mtoe/ USD 2015 billions) in the building material sector, 2025 compared with 2010



Source: Oxford Economics, ING Research

Fossil fuel risks persist in building materials

The European building materials sector still faces significant challenges from higher energy costs and new market uncertainty. While the reliance on oil and coal has decreased in the last two decades, the dependency on gas has remained more or less the same. In addition, the dependency on oil hasn't decreased since 2020.

The recent uptick in building permits offers a glimmer of hope for stronger demand, but a sustained recovery will depend on greater stability in energy markets and continued innovation in sustainable production methods. Without this, rising production costs risk pushing sales prices higher which, in turn, would weigh on demand. A firm commitment to greener, less energy intensive production processes will therefore be essential for long term resilience.

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Trump's 100% pharma tariffs will have a limited effect on the sector

On Thursday, news broke that the US will likely start levying a 100% tariff on branded pharmaceutical imports. The specifics remain unclear, but the levy is expected to be relatively narrow in scope, since many exemptions have already been negotiated. The step appears driven primarily by geopolitics, limiting the economic impact



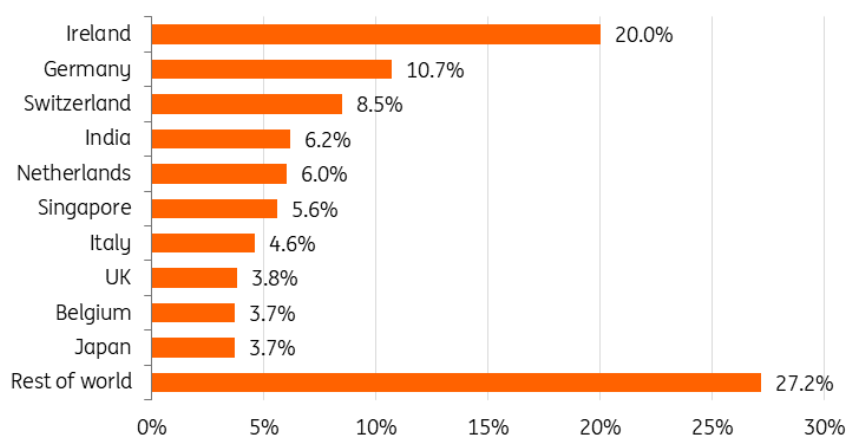
This new tariff appears driven by geopolitical considerations, limiting the economic impact

Which exemptions have already been negotiated?

We expect the 100% tariff to apply to branded pharmaceuticals for which no exemptions have been negotiated. This means tariffs on branded pharma goods imported into the US from the EU, Japan, South Korea, Switzerland, and the UK would be capped at the rates negotiated in bilateral deals. Also, 16 big pharma companies are exempt for three years after concluding deals with Trump to lower the prices of new and existing medicines under most-favoured-nation (MFN) principles. And it's likely that drugmakers now negotiating with the Department of Health and Human Services would be exempt. As such, the scope of this 100% tariff is rather limited, as evidenced by the US import figures below.

Most top exporters to the US are covered under trade deals

US imports of pharmaceutical products by country share, 2023



Source: Global Trade Tracker, LSEG Datastream; WITS; UN Comtrade; ING calculations

Why this tariff is mostly geopolitical

This leaves only companies without an MFN deal or a country-level bilateral agreement exposed to a possible 100% levy. The key countries involved include Singapore, India, and China –and only Singapore currently exports a substantial volume of branded pharmaceuticals to the US. The economic impact will therefore be negligible. Rather, the tariff is geopolitical in nature and should be seen as a shot across the bow for more intense competition between the US and China in biotech and pharma.

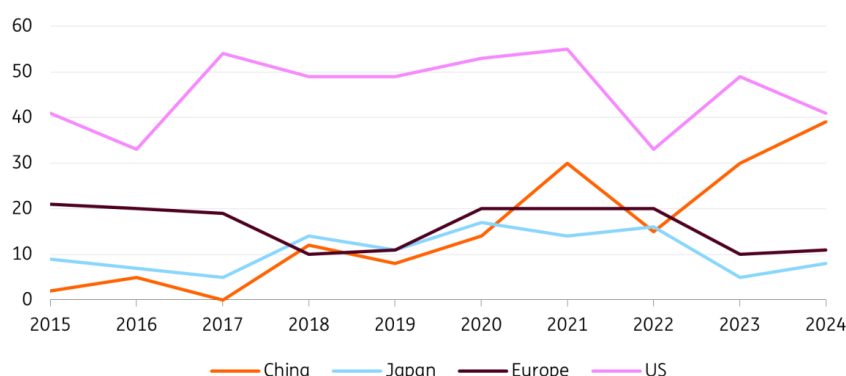
[China has developed into a biopharmaceutical innovation hub](#). We estimate that roughly one third of all new molecules in global pipelines now originate in China – up from just 4% 12 years ago. The country has surpassed Europe and is nearing the US in the number of global drug approvals. This is why we believe that the next Pfizer will be Chinese rather than American or European.

US policymakers on both sides of the aisle have realised that China is a real threat to US dominance in biopharmaceutical innovation. This is why the new tariff follows an investigation by the Commerce Department that determined certain pharmaceutical imports pose a national security risk to the US, as well as [deliberations in the House Select Committee on the CCP](#) on the threat China poses to American biopharmaceutical innovation capacity.

In short, this is a geopolitical tariff with negligible short-term economic effects. We're likely to see many more such policies in pharma, as the sector is now formally considered important to national security by US policymakers.

China is nearing the US in global drug approvals

Distribution of first global approvals of innovative drugs, 2015-24



Source: Nature publication; BMI; ING

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